CREDIT PROPOSAL — ACTION REQUESTED

Sawaed Al Bina Contracting Co. · Renewal + additional (new project limit)
Date 06/10/2026 · RM Hisham Al-Qahtani

Key details

Unit / branch:	Corporate Banking — Eastern Province / Dammam Main Branch
Customer:	Sawaed Al Bina Contracting Co.
CIF / base no.:	CB09002
Group:	Sawaed Group (CG9002)
Date account opened:	20/03/2016
Related / connected party:	Yes — Sawaed Heavy Equipment Rental Co. (CIF CB09003, owned by partner Nasser Hamad Al-Sawaed); Sawaed Real Estate Co.
Date:	06/10/2026
AO / RO:	Hisham Al-Qahtani / Lama Al-Mutairi
Purpose code:	PF-03 Project finance (contracting)
Request type:	Renewal + additional (new project limit)
Review date:	30/11/2026
Industry code:	F41 — Construction of buildings
Collateral code:	AS — Assignment of proceeds
Rating (existing / proposed):	BB+ / BB
CR number:	2050117342

1. Action requested

Renew the general limit of SAR 160.0m approved under CC/2024/207 dated 12/11/2024 for a further 12 months with the same structure, and approve a new project limit of SAR 120.0m dedicated to the Eastern Corridor Logistics Hub — Package C awarded by Sharqiya Logistics Development Co. (SLDC) (letter of award 22/09/2026, contract value SAR 312.0m, 24 months from 01/12/2026), taking total facilities from SAR 160.0m to SAR 280.0m and the Sawaed Group exposure cap from SAR 185.0m to SAR 300.0m.

2. Facilities

Facility (SAR m)	Existing	Outstanding	Proposed	Cash margin	Particulars
General limit (renewal)	**160.0**	**129.6**	**160.0**		**12 months, review 30/11/2027; Interchangeable within the general limit**
Advance payment guarantees	25.0	19.4	25.0	10%	Comm. 0.75% p.a.; Per LG, max 30 months
Performance bonds	45.0	41.2	45.0	10%	Comm. 0.60% p.a.; Per LG, max 36 months
Letters of credit (sight / usance)	20.0	6.3	20.0	15%	Comm. 0.25% p.q.; Usance up to 120 days
Murabaha against payment certificates (DMCCM)	50.0	47.8	50.0		3M SAIBOR + 2.50%, floor 6.25%; Up to 180 days per draw; Up to 80% of certified net amounts
Overdraft	20.0	14.9	20.0		3M SAIBOR + 2.75%, floor 6.50%; 12 months
Project limit — Eastern Corridor Logistics Hub Package C (new)	**0.0**	**0.0**	**120.0**		**Project life, 24 months + DLP; Dedicated to Package C**
Advance payment guarantee (10%)	0.0	0.0	31.2	10%	Comm. 0.75% p.a.; Until full recovery of the advance
Performance bond (10%)	0.0	0.0	31.2	10%	Comm. 0.60% p.a.; Until end of DLP (36 months)
Murabaha against Package C certificates (DMCCM)	0.0	0.0	45.0		3M SAIBOR + 2.50%, floor 6.25%; Up to 180 days per draw; Up to 80% of certified net amounts
Letters of credit (MEP imports)	0.0	0.0	12.6	15%	Comm. 0.25% p.q.; Usance up to 120 days, settled by DMCCM
Total facilities	**160.0**	**129.6**	**280.0**		

Study and documentation fee: 0.25% of the new limit (SAR 300,000). Pricing of the general limit unchanged.

3. Security and support

For the general limit (SAR 160.0m):

- Personal guarantee of Turki Hamad Al-Sawaed (65% shareholder), net worth SAR 160.3m as per statement dated 30/06/2026 (existing; extended to the project limit).
- Personal guarantee of Nasser Hamad Al-Sawaed (35%), net-worth statement to follow (existing).
- Assignment of Package B proceeds (existing, acknowledged by SLDC on 02/05/2025).

- Promissory note for SAR 280.0m covering both limits (new, replacing SAR 160.0m).
- Cash margin 10% on letters of guarantee, 15% on letters of credit (existing deposit SAR 6.06m).

For the Package C project limit (SAR 120.0m):

- Assignment of Package C contract proceeds to the Bank, to be acknowledged by SLDC within 60 days of contract signature (new).
- Personal guarantee of Turki Hamad Al-Sawaed (above), extended to the project limit (new).
- Cash margin 10% on the APG and PB (SAR 6.24m), 15% on LCs (new).

4. Terms and conditions

For the general limit:

1. DMCCM only against Engineer-certified payment certificates, up to 80% of the net certified amount, repaid from the certificate proceeds.
2. Proceeds of assigned projects credited to the Bank first settle the related DMCCM outstanding.

For the Package C project limit:

3. Package C limit used only for Package C; LGs in the employer's standard format, open-ended wording not accepted.
4. DMCCM against Package C certificates certified by the Engineer, up to 80% of the net certified amount; the last 10% of contract value not financed.
5. Funded outstanding under the project limit covered at least 1.5x by remaining Package C contract proceeds.

For both limits:

6. Route not less than 60% of turnover through the Bank (existing; complied).
7. Audited financial statements within 120 days and in-house statements within 60 days of each half year.
8. Status of existing conditions (CC/2024/207): assignment of Package B proceeds — complied; routing — complied; audited FS — complied; related-party balances capped at SAR 10m — not complied (SAR 24.6m at 30/09/2026).

5. Group exposure

Entity	Funded existing	Total existing	Funded proposed	Total proposed	Outstanding
Sawaed Al Bina Contracting Co.	70.0	160.0	115.0	280.0	129.6
Sawaed Heavy Equipment Rental Co.	18.0	18.0	18.0	18.0	15.2
Sawaed Real Estate Co.	0.0	0.0	0.0	0.0	0.0
Group total	88.0	178.0	133.0	298.0	144.8

References: CC/2016/031 (14/03/2016, SAR 40m), CC/2019/044 (02/04/2019, SAR 85m), CC/2022/118 (19/10/2022, SAR 120m, cap SAR 130m), CC/2024/207 (12/11/2024, SAR 160m, cap SAR 185m); credit file request CFR/EP/2026/0391 dated 06/10/2026.

6. Background

Sawaed Al Bina Contracting Co. (CR 2050117342, Dammam) was incorporated on 12/05/2008 as a limited liability company with capital SAR 50.0m (raised from SAR 30.0m on 20/06/2023 by capitalising retained earnings). Activity: general contracting for buildings, roads, infrastructure and logistics facilities. Staff 1,846 (312 Saudis, Nitaqat Medium Green, 16.9% vs 15.2% minimum).

The group (Sawaed Group) comprises the company, Sawaed Heavy Equipment Rental Co. (100% Nasser Hamad Al-Sawaed; supplies equipment hire to the company, SAR 17.8m in FY2025) and Sawaed Real Estate Co. (100% Turki Hamad Al-Sawaed; deposit customer).

Work in hand at 30/09/2026: four projects with remaining value SAR 393.5m plus Package C (SAR 312.0m) = SAR 705.5m, i.e. 1.5x annualised 2026 revenue. Sales terms: monthly certificates, 45-60 days; purchases: 45-60 days, rebar against LCs.

Shareholder	Born	Nationality	Share	UBO
Turki Hamad Al-Sawaed (Chairman and GM)	1968	Saudi	65.0%	Yes
Nasser Hamad Al-Sawaed (Deputy GM)	1973	Saudi	35.0%	Yes

7. Relationship with the Bank

Customer since 20/03/2016. Credit turnover in the main account SAR 323.5m in the 12 months to 30/09/2026 (average balance SAR 7.3m); routing 68% of collections against 60% required. Limits utilised SAR 129.6m of SAR 160.0m (81%) at 30/09/2026; no past dues and no returned cheques in the last 12 months on the company's accounts.

History of limits: SAR 40m (2016), SAR 85m (2019), SAR 120m (2022), SAR 160m (2024).

Quarter	Credit turnover	Average balance	Average utilisation	Past dues	Returned cheques
Q4 2025	75.0	7.3	74%	Nil	Nil
Q1 2026	78.3	7.2	77%	Nil	Nil
Q2 2026	72.9	7.7	79%	Nil	Nil
Q3 2026	97.4	6.9	81%	Nil	Nil

8. Status of financed projects

Project	Employer	Value	Done	Billed	Received	Retention	Completion
Eastern Corridor Logistics Hub — Package B	Sharqiya Logistics Development Co. (SLDC)	486.0	41%	187.2	79.9	18.7	31/01/2028
Al Khobar Waterfront Residential Towers (2 towers)	Qamar Al Khaleej Real Estate Development Co.	212.0	88%	186.6	160.9	18.7	31/12/2026
Second Industrial Estate — Roads Package 4	Eastern Industrial Estates Co.	164.0	97%	159.1	141.0	15.9	15/09/2026
Jubail School Complex (3 schools)	Sahil Education Projects Co.	98.0	22%	21.6	15.3	2.2	31/03/2027

Package B (SAR 486.0m) progresses with 41% of work done; the employer has agreed in principle to the five-month extension of time requested on 14/04/2026 and the revised completion date is 31/01/2028. The employer is government-linked and payments are assured.

Al Khobar Waterfront (88%) and Jubail schools (22%) progress to programme; Roads Package 4 was substantially completed in 09/2026.

9. Financials (as per audited and in-house statements)

SAR m	FY2024	FY2025	9M2026
Revenue	402.6	468.2	352.4
Revenue growth	14.4%	16.3%	—
Gross profit	50.3	55.2	38.4
Gross margin	12.5%	11.8%	10.9%
Operating profit	28.9	31.3	19.8
Net profit	17.5	16.9	8.7
Net margin	4.3%	3.6%	2.5%
EBITDA	40.1	43.7	29.4
Total assets	302.8	364.5	399.2
Bank debt, short term	80.4	107.6	118.0
Bank debt, long term	18.0	18.0	11.2
Net worth (TNW)	102.6	114.5	123.2
Leverage (TL / TNW)	1.95x	2.18x	2.24x
Gearing (bank debt / TNW)	0.96x	1.10x	1.05x
Working capital	58.3	67.5	68.7
Current ratio	1.34x	1.31x	1.27x
Operating cash flow	25.3	-10.6	2.8

Auditor: FY2024 Qimam Al Sharq Certified Accountants, unqualified (signed 24/04/2025); FY2025 Qimam Al Sharq Certified Accountants, unqualified, with emphasis of matter (signed 27/04/2026). 9M2026 in-house, prepared by Omar Khalil Haddad (unaudited).

10. RM's justification

Incorporated 2008; Roads Package 4 (SAR 164.0m) completed in 09/2026; revenue SAR 468.2m in FY2025 (PY 402.6m, +16.3%), net profit SAR 16.9m (PY 17.5m).

Package C (SAR 312.0m) is the second package from the same employer and takes work in hand to SAR 705.5m, to 2028; the limit is repaid from certified works and backed by the assignment of proceeds.

Customer since 2016; 68% routing against 60% required, no past dues and no returned cheques in 12 months; personal guarantee of the main shareholder, net worth SAR 160.3m (30/06/2026). Business recommends approval.

Hisham Al-Qahtani
Relationship Manager

Khalid Al-Otaibi
Unit Head, Corporate Banking — Eastern Province